

Building Blocks of Managerial Accounting

Learning Objectives

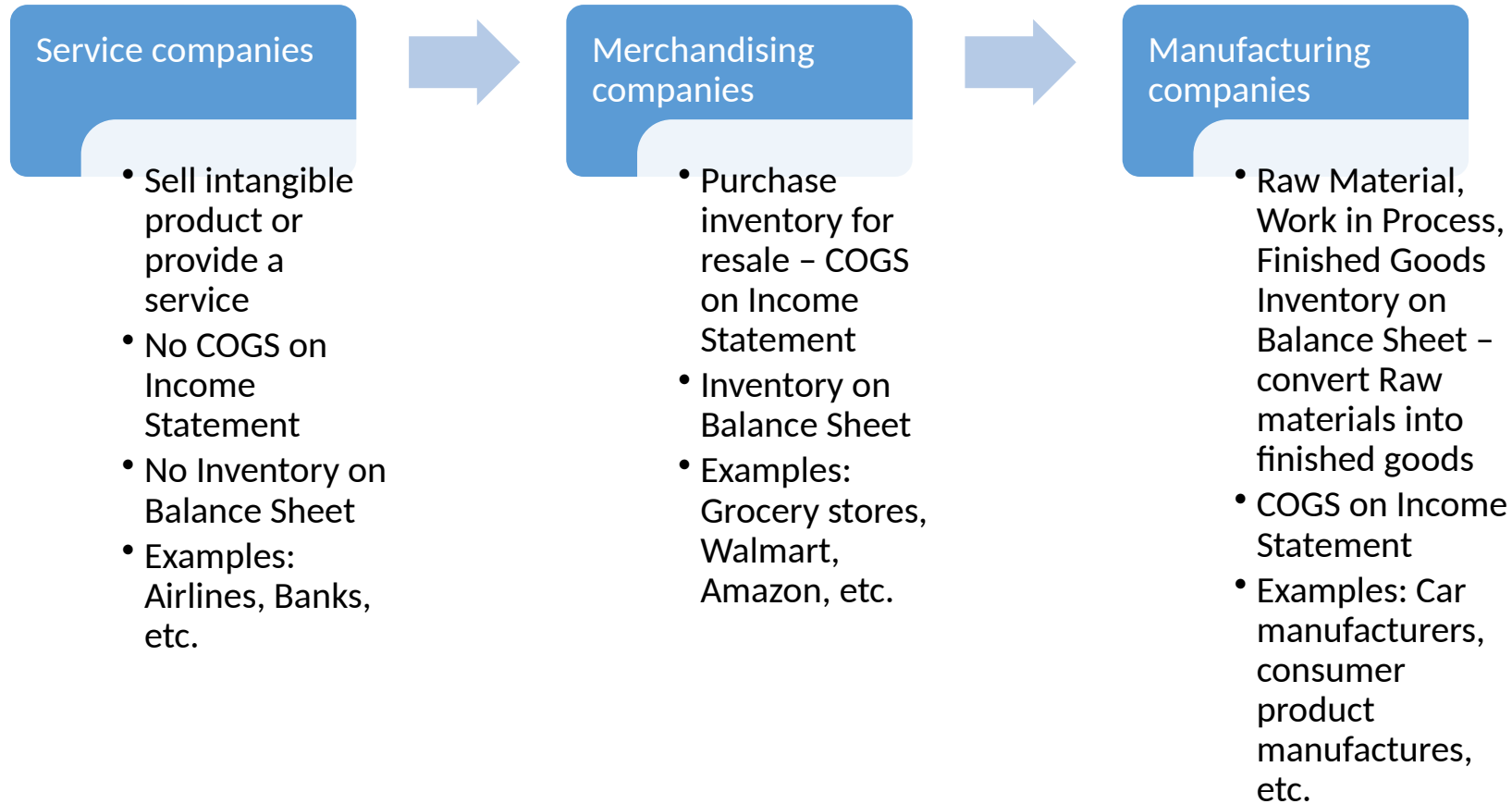
Distinguish between service, merchandising and manufacturing companies

Describe the value chain and its elements

Describe how costs flow within the organization

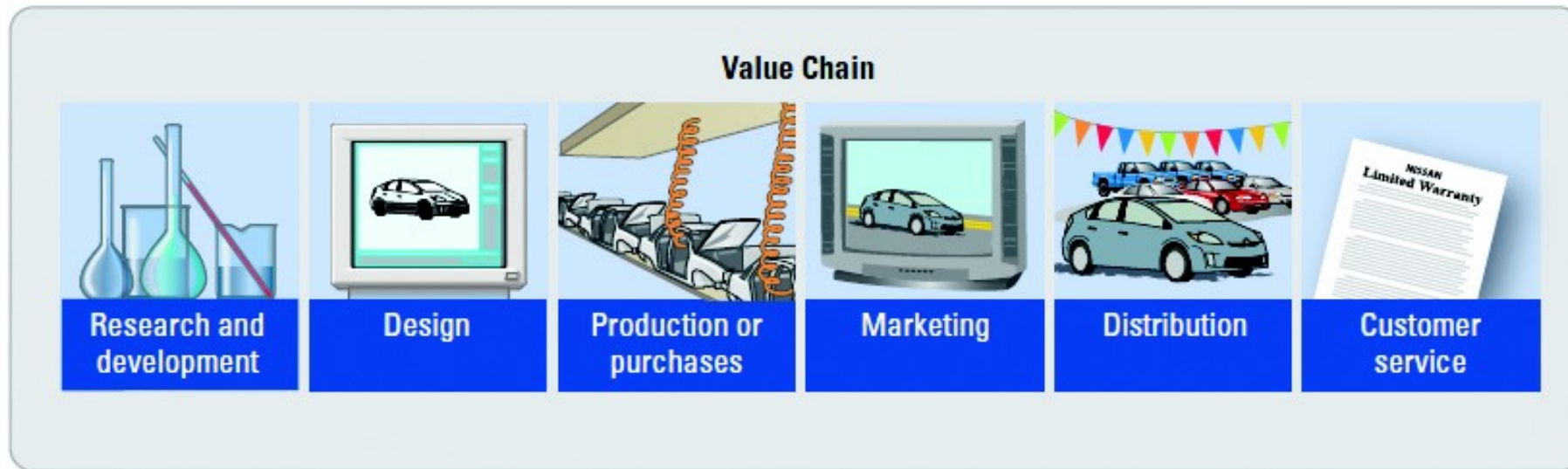
Distinguish between financial statements for service, merchandising, and manufacturing companies

Types of Companies



The Value Chain – Total costs

The activities that add value to the company's products and services



What are total costs in the value chain?

Used for Internal Reporting / Decision Making

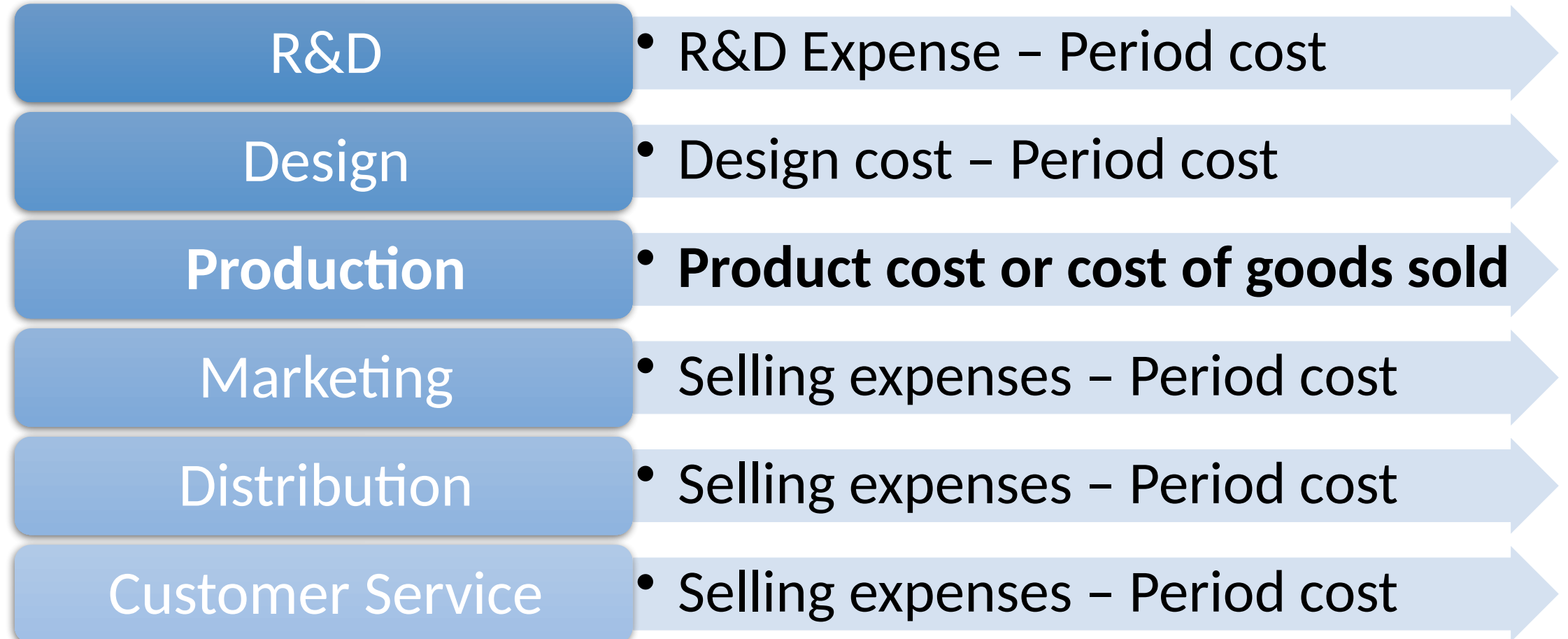
- **Total cost:** includes all costs and resources used throughout the value chain
- Goal is to ensure that the selling price determined covers all costs plus a markup

What are product costs and period costs?

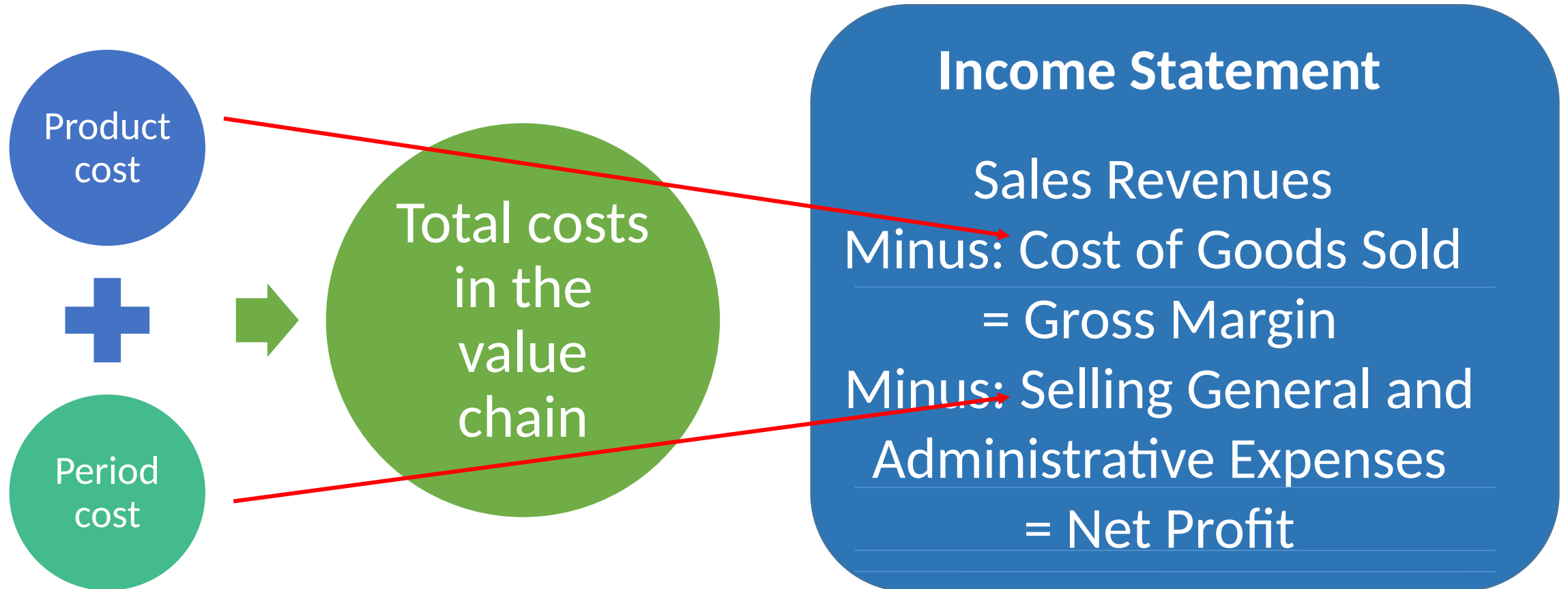
Used for External Reporting (GAAP)

- **Product costs:** incurred by manufacturers to produce their products or by merchandisers to purchase their products
 - Relate to obtaining inventory
- **Period costs:** do not get treated as inventory, immediately expensed
 - Incurred in other functions of the value chain - “Operating expenses” or “Selling, general, and administrative expenses”

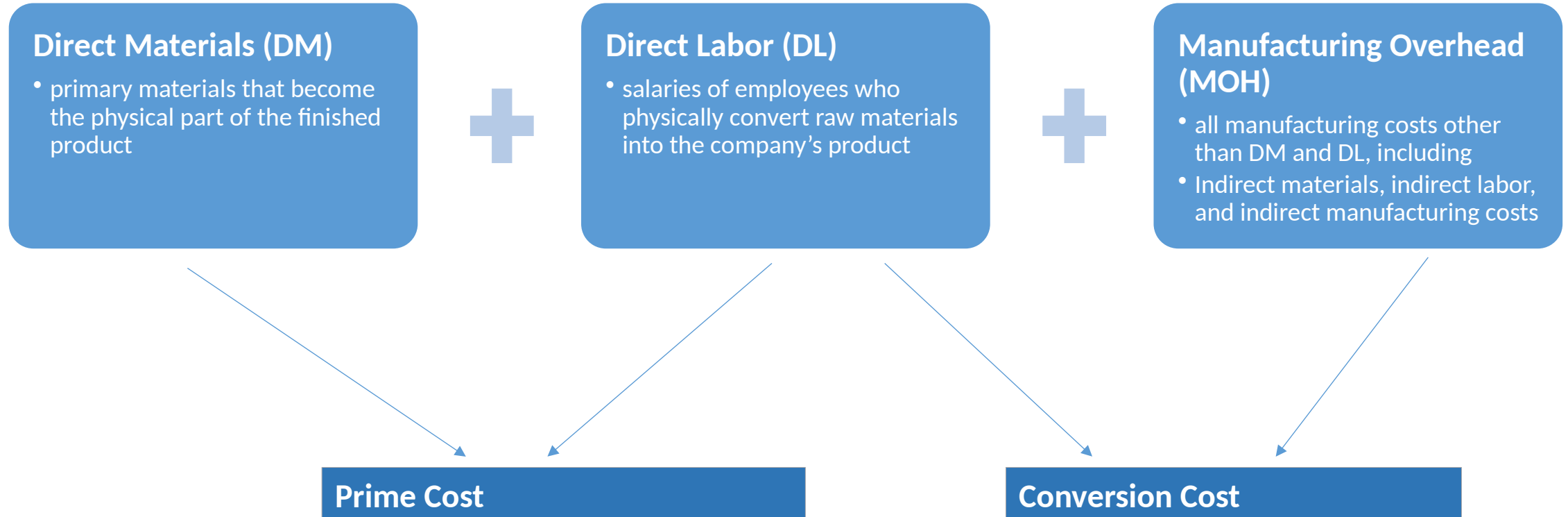
The Value Chain – attach costs, revenues and assets to each



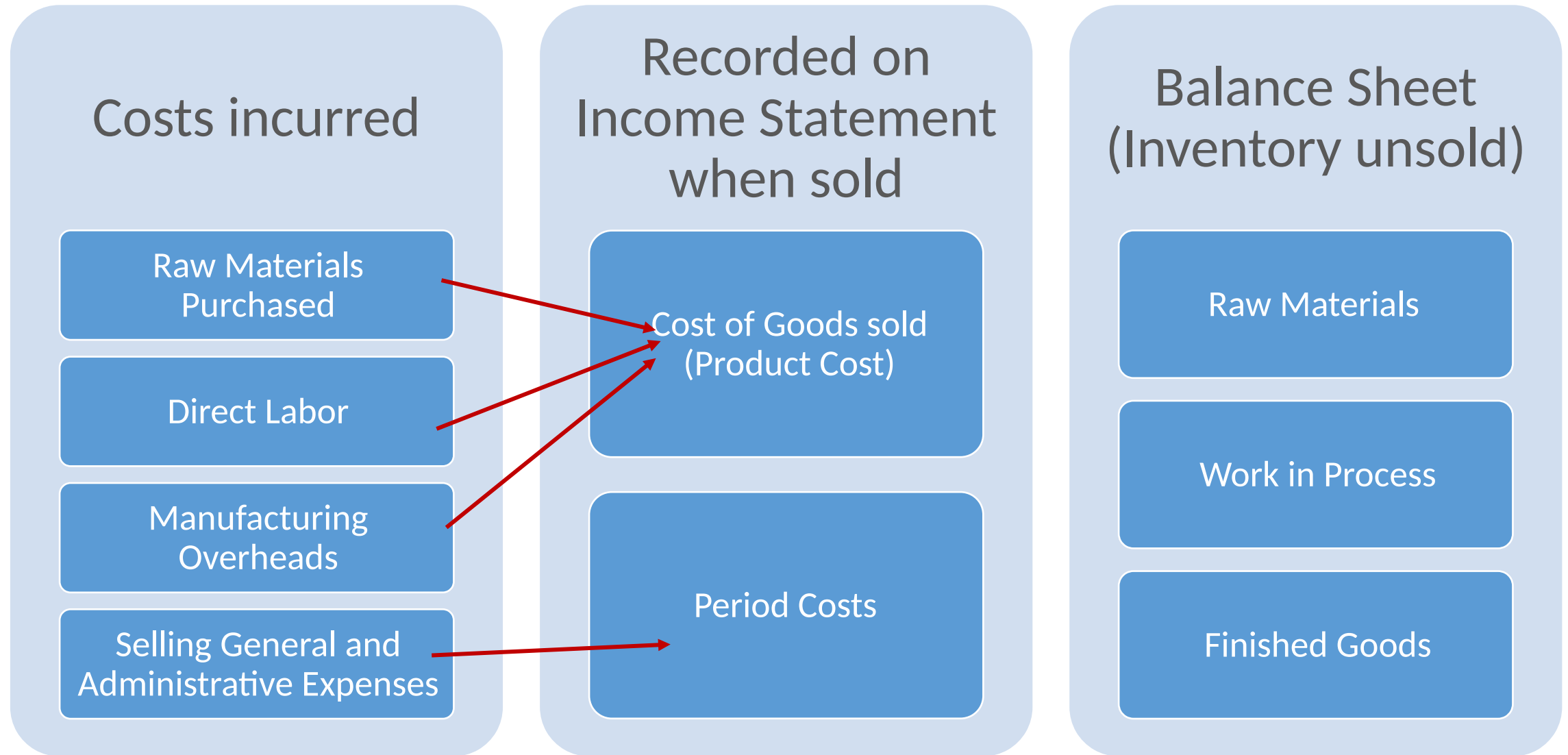
From an accounting perspective, how do we view total costs incurred?



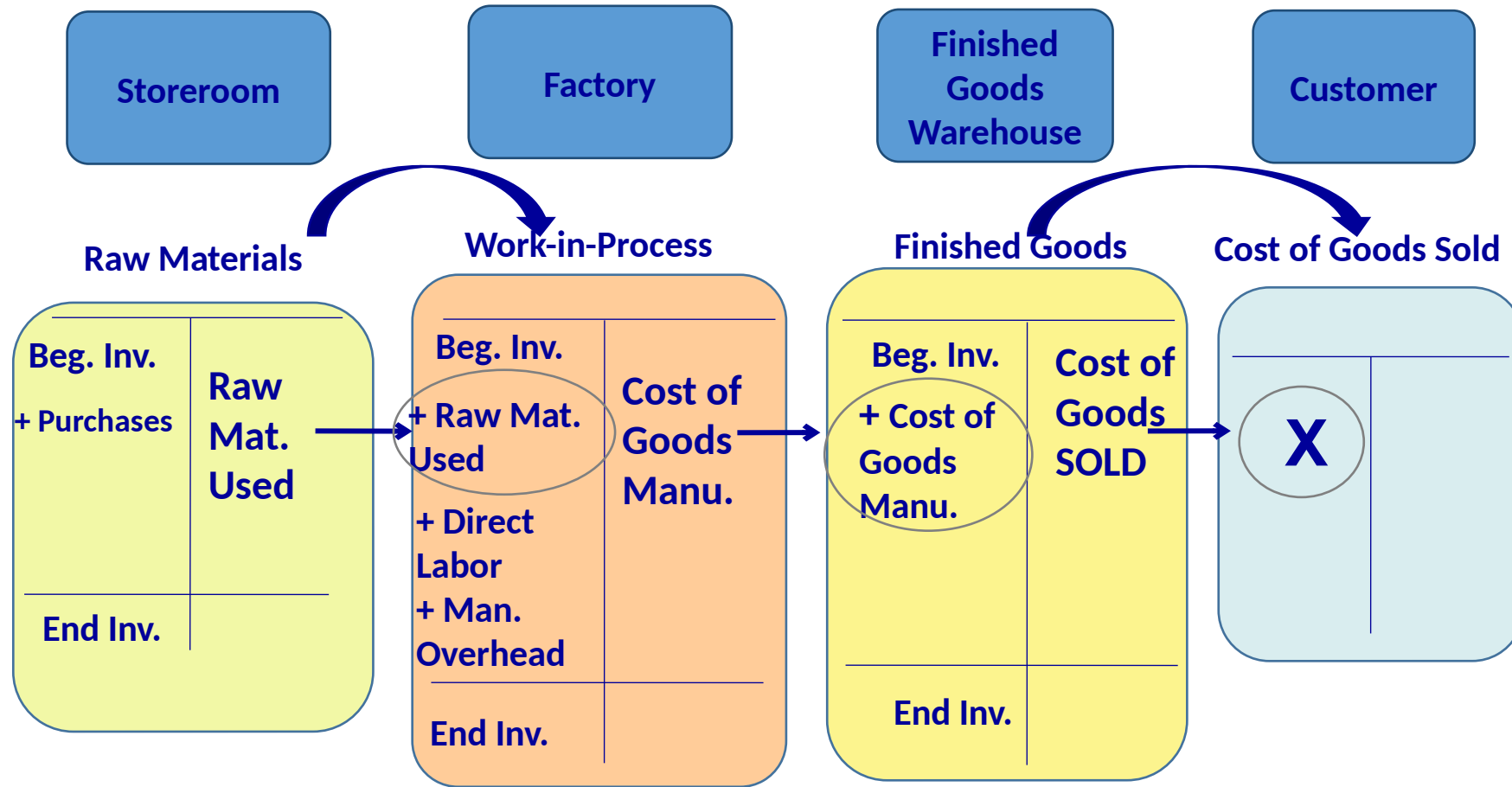
Product Costs for a Manufacturer



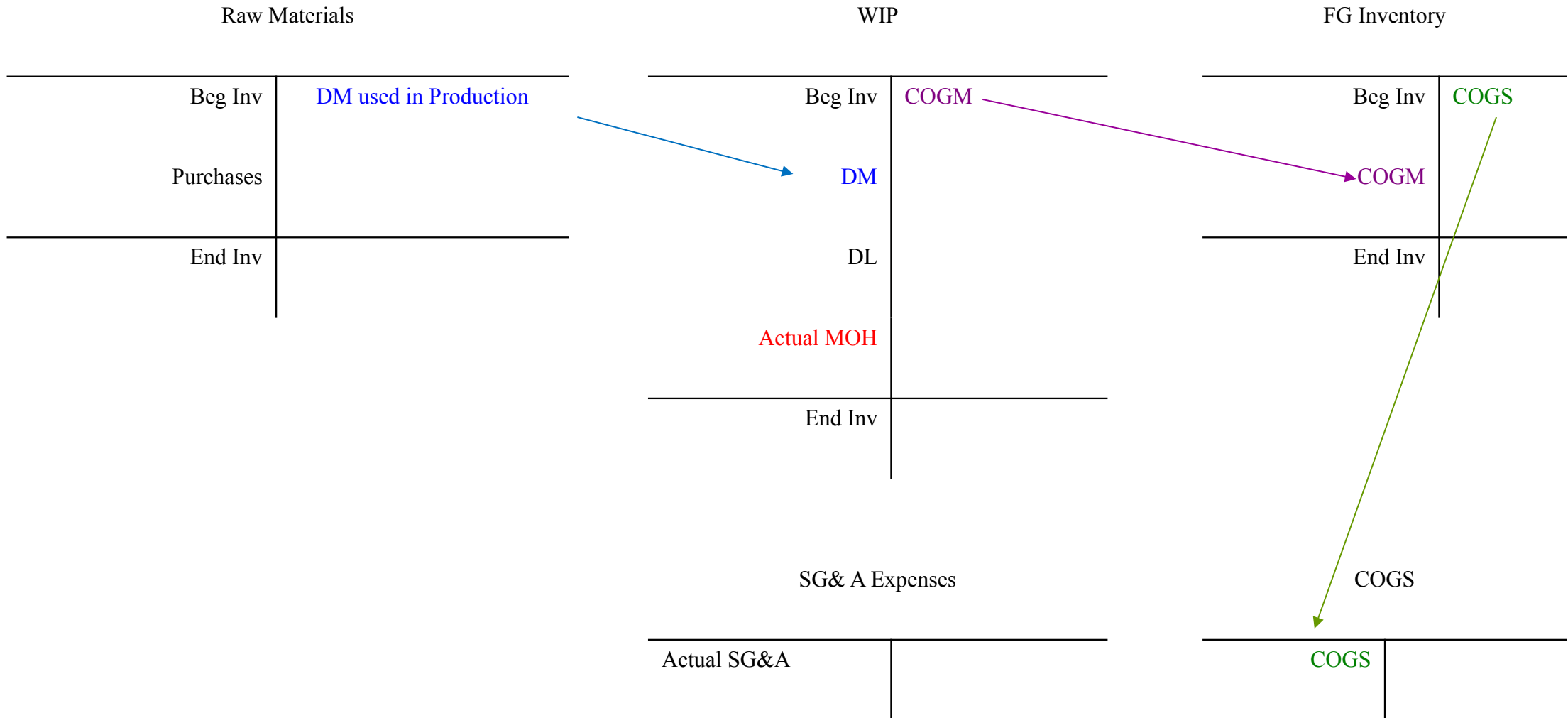
Product Cost Flows



Product Cost Flows



T-ACCOUNTS OF INVENTORY FLOWS USING ACTUAL COSTING



INCOME STATEMENTS

Income Statements

<u>Service</u>	<u>Merchandiser</u>	<u>Manufacturer</u>
Service Revenues	Sales	Sales
- Operating Expenses	- Cost of Goods Sold	- <u>Cost of Goods Sold</u>
= Operating Income	= Gross Profit	= Gross Profit
	- Operating Expenses	- Operating Expenses
	= Operating Income	= Operating Income
	Cost of Goods Sold:	Cost of Goods Sold
	Beginning Inventory	Beginning Finished Goods Inventory
	+ Purchases	+ <u>Cost of Goods Manufactured</u>
	= Cost of Goods Available for Sale	= Cost of Goods Available for Sale
	- Ending Inventory	- Ending Finished Goods Inventory
	= Cost of Goods Sold	= Cost of Goods Sold

COGM/COGS using Actual Costing

Raw Materials	Beginning RM + Purchases - Ending RM
Work in Process	DM used in Production + DL + Overhead Total Manufacturing Costs + Beginning WIP - Ending WIP
Finished Goods	Cost of Goods Manufactured + Beginning FG - Ending FG = Cost of Goods Sold